

Multiple Choice

1. **Answer:** C

Options: A) falls below minimum average total cost.; B) is greater than minimum average variable cost, but lower than minimum average total cost.; C) falls below minimum average variable cost.; D) is equal to minimum average total cost.

Note: The correct answer is based on the key concept that a perfectly competitive firm should shut down in the short run if the market price is below the minimum average variable cost, as it indicates that the firm cannot cover its variable costs and would incur greater losses by continuing production.

2. **Answer:** A

Options: A) a prolonged period of very bad weather.; B) a decrease in the money supply.; C) a decrease in consumer confidence.; D) an increase in consumer confidence.

Note: A prolonged period of very bad weather can disrupt agricultural production and supply chains, leading to higher prices (inflation) while simultaneously reducing the overall output of goods and services (real GDP) in the short run.

3. **Answer:** A

Options: A) A cement mixer; B) A barrel of crude oil; C) A registered nurse; D) A share of corporate stock

Note: A cement mixer is considered capital as an economic resource because it is a durable tool used in the production process to facilitate the construction of buildings, thereby enhancing productivity and efficiency in the economy.

4. **Answer:** D

Options: A) a loose monetary policy.; B) foreigners having no taste for this country's products.; C) an appreciation of the country's currency.; D) low levels of income relative to other nations.

Note: A balance of trade surplus occurs when a country exports more than it imports, which can happen if its income levels are low relative to other nations, leading to lower domestic consumption and increased exports.

5. **Answer:** C

Options: A) increase imports; B) increase travel abroad; C) increase exports; D) decrease a trade surplus

Note: The depreciation of the dollar makes American goods cheaper for foreign buyers, thereby increasing exports.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: When the cross-price elasticity of demand is negative, it indicates that an increase in the price of one good leads to a decrease in the quantity demanded of another good, which is characteristic of complementary goods that are often consumed together.

7. **Answer:** False

Options: A) True; B) False

Note: Producers expecting a higher future price for good A are likely to withhold supply in the present, which would lead to an increase in equilibrium price and a decrease in equilibrium quantity, not the opposite.

8. **Answer:** True

Options: A) True; B) False

Note: Contractionary monetary policy involves raising interest rates to reduce inflation, which makes existing Treasury bonds with lower interest rates less attractive, causing their prices to fall.

9. **Answer:** False

Options: A) True; B) False

Note: The statement is false because an increase in demand for exports typically strengthens the value of the dollar, while a decrease in preferences for foreign goods would further boost domestic demand, counteracting any potential depreciation.

10. **Answer:** True

Options: A) True; B) False

Note: GDP measures the total value of all goods and services produced within a country, which directly correlates to its income and overall economic activity.

Long Form Response

11. **Answer:** An increase in demand for the goods produced by labor leads to a rise in the equilibrium market wage in a competitive labor market. When consumers want more of a product, companies need to produce more, which requires hiring additional workers. This heightened demand for labor drives up wages as employers compete to attract the necessary workforce. As wages increase, it can also encourage more people to enter the labor market, further supporting the production of the desired goods. Ultimately, the stronger demand for these products translates into higher wages for workers, reflecting their increased value in the production process.

Note: correct because it outlines the relationship between increased demand for goods and the consequent rise in labor demand, which leads to higher wages as employers compete for workers to meet production needs.

12. **Answer:** Transfer earnings in economics refer to the minimum amount of income a worker could earn in their next best alternative job, which reflects their opportunity cost. For example, if a cashier at a restaurant earns \$8 an hour, this wage is likely similar to what other cashiers earn in a competitive job market. In this scenario, the cashier's transfer earnings are equal to their actual earnings because they could earn the same amount elsewhere, indicating that their wage is determined by the market rate for cashiers. This concept highlights that the cashier's income does not exceed what they could earn in other comparable positions, emphasizing the balance between labor supply and demand in determining wages.

Note: correct because it accurately defines transfer earnings as the minimum income a worker could earn in an alternative job, illustrates this with the example of a cashier whose earnings reflect market conditions, and demonstrates how these earnings are determined by competition in the job market.